

Investment Credit Memorandum

Southport CLO 2023-2 | Southport Shipyard LLC | 20 October 2023

1. Recommendation

Credit committee is asked to approve a \$6,500,000 allocation of the Southport Shipyard LLC first-lien term loan into the Southport CLO 2023-2 warehouse, and to roll that position into the CLO at closing. The borrower is Southport Shipyard LLC, headquartered in Mobile. The financial sponsor is Tidepool Energy. Analyst: Marcus Chen. Committee chair: David Okonkwo. Portfolio manager: Priya Raman, Meridian Credit Partners LLC.

Recommendation: Approve at a maximum par of \$6,500,000 (1.63% of the \$400,000,000 target CLO portfolio). The name sits inside the 2.0% single obligor concentration limit in the Southport CLO 2023-2 indenture. Moody's corporate family rating is B1. S&P issuer credit rating is B+. The loan is US dollar denominated and is eligible collateral under the term sheet dated 2 November 2023.

2. Borrower and sponsor

Southport Shipyard LLC operates in Capital Equipment. The company is owned by Tidepool Energy. Neither the sponsor nor the borrower is affiliated with Meridian Credit Partners LLC.

Related book names in Southport CLO 2023-2 include Gulf Breeze Hotels, Bayou Chemical, Inc.. Those names are separate obligors and should not be aggregated for the single obligor test.

3. Facility terms

Instrument: Southport Shipyard LLC first-lien term loan. Spread: SOFR + 3.75% with a 0.75% floor. The credit agreement is covenant-lite. Bridgeport Bank is the warehouse lender to Southport CLO 2023-2.

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4. Credit highlights and risks

Highlights: sponsor support from Tidepool Energy, first-lien or unitranche collateral, and an allocation inside the 2.0% obligor cap.

Risks: sector cyclicalities in Capital Equipment and add-on acquisition risk. Marcus Chen confirmed that Moody's industry classification for Southport Shipyard LLC is 'Capital Equipment'.

5. CLO fit and covenants

The allocation complies with the Class A/B Overcollateralization Test methodology because the loan is par-eligible and rated B1. It uses 1.63 of the 2.00 percentage-point largest-obligor covenant. Priya Raman confirmed the trade for Southport CLO 2023-2.

If Southport Shipyard LLC is downgraded to Caa1, the position would count toward the 7.5% Caa bucket in the Southport CLO 2023-2 indenture. Harbor Trust Company, N.A. would reflect that classification on the next monthly trustee report. Meridian Credit Partners LLC would then evaluate a sale during the reinvestment period.

6. Committee decision

Credit committee of Meridian Credit Partners LLC approved the \$6,500,000 purchase for the Southport CLO 2023-2 warehouse on 20 October 2023. Voting members: David Okonkwo (chair), Priya Raman, and Marcus Chen. The trade will settle into the Bridgeport Bank warehouse and be conveyed to Southport CLO 2023-2, Ltd. on the closing date of 16 November 2023.